

That's correct!

Question 4

1 / 1 pts

Operating cycle refers to:

- ☐ Time taken to produce goods
- ☐ Time to pay creditors
- ☒ Time between purchase of inventory and collection of cash
- ☐ Sales period

That's correct!

Question 5

1 / 1 pts

Adequate working capital ensures:

- ☐ High profit only
- ☐ High cost
- ☒ Smooth business operations
- ☐ Low sales

That's correct!

Question 6

1 / 1 pts

Gross working capital means:

- ☐ Net profit
- ☒ Current assets
- ☐ Fixed assets
- ☐ Current liabilities

That's correct!

Question 7

1 / 1 pts

Factors affecting working capital include:

- ☐ Nature of business
- ☒ All of the above
- ☐ Credit policy
- ☐ Production cycle

That's correct!

Question 8

1 / 1 pts

Longer operating cycle requires:

- ☐ Less working capital
- ☐ No working capital
- ☒ More working capital
- ☐ Less cost

That's correct!

Question 9

1 / 1 pts

Cash budget shows:

- ☐ Assets
- ☐ Liabilities
- ☒ Cash inflows and outflows
- ☐ Profit

That's correct!

Question 10

1 / 1 pts

Seasonal business requires:

- ☒ Fluctuating working capital
- ☐ Constant working capital
- ☐ No working capital
- ☐ Fixed capital only

That's correct!

Question 11

1 / 1 pts

Working capital forecasting means:

- ☐ Estimating future sales
- ☐ Calculating profit
- ☒ Estimating working capital needs
- ☐ Preparing accounts

That's correct!

Question 12

1 / 1 pts

Working capital management deals with:

- ☐ Fixed assets
- ☐ Profit
- ☒ Short-term assets and liabilities
- ☐ Long-term finance

That's correct!

Question 13

1 / 1 pts

If current liabilities increase, working capital:

- ☒ Decreases
- ☐ Increases
- ☐ No change
- ☐ Doubles

That's correct!

Question 14

1 / 1 pts

Efficient working capital management leads to:

- ☐ Liquidity problems
- ☐ High expenses
- ☐ Business failure

- ☒ Improved profitability and liquidity

That's correct!

Question 15

1 / 1 pts

Net working capital is:

- ☐ Total assets
- ☒ Current assets – Current liabilities
- ☐ Profit – Tax
- ☐ Sales – Cost

That's correct!

Question 16

1 / 1 pts

Permanent working capital is:

- ☒ Minimum level required always
- ☐ Profit
- ☐ Temporary need
- ☐ Short-term loan

That's correct!

Question 17

1 / 1 pts

Receivables period is:

- ☐ Time to produce goods
- ☐ Time to sell goods
- ☒ Time to collect cash from customers
- ☐ Time to pay suppliers

That's correct!

Question 18

1 / 1 pts

Operating cycle includes:

- ☐ Only receivables
- ☐ Only inventory period
- ☐ Fixed assets
- ☒ Inventory + Receivables period

That's correct!

Question 19

1 / 1 pts

Cash inflows include:

- ☒ Cash sales
- ☐ Rent paid
- ☐ Purchase of goods
- ☐ Salaries

That's correct!

Question 20

1 / 1 pts

Main purpose of cash budget is:

- ☐ Calculate profit
- ☐ Reduce tax
- ☒ Ensure liquidity
- ☐ Increase sales

That's correct!

Quiz Score: 20 out of 20

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